The Commission's assessment of the relevant domestic activities that constitute engaging in an SBS is consistent not only with the statutory text, but also the statutory objectives underlying the execution requirement. These objectives include, among other things, helping to ensure the financial stability of U.S. persons engaged in SBS transactions, the promotion of transparency in price formation for SBS transactions that have a nexus to the U.S. securities markets, and the prevention of manipulation, price distortion and disruptions of the delivery or cash settlement process within the U.S. market system. Each of the components of Rule 832 helps to advance one or more of these statutory goals and, thus, further supports the Commission's reasonable understanding of what constitutes engaging in an SBS in the United States.[544]

With that general explanation of how Rule 832 fits comfortably within our statutory authority, the Commission will address the specific comments that were received on the rule. For the reasons discussed above, the Commission disagrees with the comment that Rule 832 should not extend the trade execution requirement to transactions involving foreign branches of U.S. persons or guaranteed person transactions.[545] With respect to the commenter that believes Rule 832's definition of "covered person" should also cover a transaction that includes a "de facto

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544 In the alternative, the Commission relies on the anti-evasion authority of section 30(c) of the SEA, 15 U.S.C. 78dd(c), as statutory authority for Rule 832. Section 30(c) authorizes the Commission to apply Title VII requirements to persons transacting a business "without the jurisdiction of the United States" if they contravene rules that the Commission has prescribed as "necessary or appropriate to prevent the evasion of any provision" of Title VII. For example, without Rule 832(b)(2), U.S. persons could have an incentive to evade the trade execution requirement by engaging in SBS via a guaranteed affiliate, while the economic reality of transactions arising from that activity—including the risks these transactions introduce to the U.S. market—would be no different in most respects than transactions entered into directly by U.S. persons. *See* Proposing Release, *supra* note 1, 87 FR at 28923 n.228. And, without Rule 832(b)(3), non-U.S. persons could retain the benefits of operating in the United States while avoiding compliance with the trade execution requirement. *See id.* at 28923 n.230.

545 *See supra* note 523 and accompanying text.

guarantee" by a U.S. person,[546] the Commission appreciates that, even for an affiliate that is not a guaranteed person, a dealer or large trader might be unwilling to allow such an affiliate to fail because of the reputational and other consequences such a failure might have on its interactions with potential counterparties. At the same time, given the lack of a legal obligation by the "de facto guarantor," it is not clear how the Commission could determine—before the fact—which "de facto guarantees" exist and which such "de facto guarantors" should be included, or how market participants, including counterparties, would be able to determine the applicability of Regulation SE to a transaction potentially subject to a "de facto guarantee." Thus, the Commission is not including "de facto guarantee" transactions within Rule 832's definition of "covered persons."

For the reasons discussed above, as well as the reasons discussed immediately below, the Commission also disagrees with the argument that the Commission should not extend SBSEF rules, which include mandatory trade execution, to transactions with non-U.S. counterparties (even if they involve guaranteed persons) where the lack of such rules would have no ability of posing risk to the U.S. financial system.[547] While Title VII's trade execution requirements do not relate to systemic risk in precisely the same manner that certain other Title VII rules—such as capital, margin, and segregation requirements for SBSDs and MSBSPs,[548] post-trade reporting and public dissemination of SBS transactions,[549] registration and regulation of SBSDs and MSBSPs,[550] among others—the Commission disagrees with the notion that the trade execution

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546 *See supra* note 519 and accompanying text.

547 *See supra* note 524 and accompanying text.

548 *See* Capital, Margin, and Segregation Release, *supra* note 100.

549 *See* Regulation SBSR Release, *supra* note 102.

550 *See* SBSD and MSBSP Registration Release, *supra* note 99.

and other SBSEF requirements are not important in addressing and mitigating risk, including potentially systemic risk, to the U.S. financial system. The application of the trade execution requirement to a cross-border SBS transaction is not simply a matter of whether a particular form of execution (such as RFQ-to-3 or the use of an order book) is required. Instead, the application of this requirement to such a transaction would subject the transaction to the various requirements of Regulation SE, many of which relate to mitigating risks to the counterparties of the transaction and, ultimately, the U.S. financial system. The Core Principles for SBSEFs—which are set forth in the Dodd-Frank Act[551] and implemented in the rules of Regulation SE—seek to, among other things, provide for transparency in price formation for SBS,[552] impartial access to SBS trading,[553] the financial resources of SBS trading venues,[554] the efficient submission of eligible SBS transactions to central clearing,[555] and the prevention of manipulation, price distortion, and disruptions of the delivery or cash settlement process.[556]

With respect to commenters' views opposing the inclusion of ANE transactions in Rule 832,[557] the Commission understands that this differs from the CFTC's policy towards ANE transactions and is cognizant of the potential complexities and costs that can arise if market participants are unsure of which jurisdictions' rules apply to a particular SBS transaction. The Commission also recognizes commenters' views that certain foreign jurisdictions have adopted

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551 Core Principles of section 3D(d) of the SEA, 15 U.S.C. 78c-4(d).

552 *See, e.g.*, Rule 815 (methods of execution); Rule 816 (trade execution requirement); Rule 825 (Core Principle 8—timely publication of trading information).

553 *See, e.g.*, Rule 819(c) (Core Principle 2—access requirements).

554 *See, e.g.*, Rule 829 (Core Principle 12—financial resources).

555 *See, e.g.*, Rule 823(c) (Core Principle 6—financial integrity of transactions).

556 *See, e.g.*, Rule 820 (Core Principle 3—SBS not readily susceptible to manipulation); Rule 821(Core Principle 4—monitoring of trading and trade processing); Rule 823 (Core Principle 6—financial integrity of transactions).

557 *See supra* notes 527–537 and accompanying text.

"robust" regulatory regimes.[558] However, the purpose of Rule 832 is to "address when the … trade execution requirement applies to a cross-border SBS transaction."[559] Absent an exemption, the trade execution requirement applies in cross-border contexts wherever covered persons are involved in an SBS transaction, regardless of whether the relevant foreign jurisdictions have robust regulatory regimes—such as those the Commission may consider in connection with a foreign trading venue's application to the Commission for an exemption from the trade execution requirement under Rule 833(b).[560]

In adopting Rule 832, the Commission has been mindful of its impact on CFTC-registered SEFs and, as a commenter suggests,[561] whether they might be forced to change their rules because of the Commission's ANE approach for SBSEFs. As discussed below in section VII.B with respect to applications for exemptions relating to the trade execution requirement under Rule 833(b), foreign trading venues that have already received exemptive relief from the CFTC for swaps trading where robust regulatory regimes may exist with requirements comparable to those applicable to SBS transactions in the United States may apply for exemptive relief under Rule 833(b). If exempted under Rule 833(b), trading of SBS on such foreign trading venues would not require CFTC-registered SEFs to change their rules.[562] Similarly, for SBS transactions that the Commission exempts from the trade execution requirement based on an application submitted under Rule 833(b), the concerns expressed by commenters regarding

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558 *See supra* note 534 and accompanying text.

559 Proposing Release, *supra* note 1, 87 FR at 28924.

560 *See infra* section VII.B (discussing cross-border exemptions under Rule 833, including exemptions relating to the trade execution requirement under Rule 833(b)). The Commission may consider, among other things, the extent to which the SBS traded in a foreign jurisdiction are subject to a comparable trade-execution requirement.

561 *See supra* note 537 and accompanying text.

562 *See infra* notes 624–627 and accompanying text.

complexities and costs would no longer be applicable,[563] and commenters' concerns regarding the Commission's treatment of ANE transactions should be allayed as well, because the effect of such exemptions would likely result in SBS transactions in foreign jurisdictions with what may be considered robust regulatory regimes being exempt from the Commission's trade execution requirement and, in practice, have similar treatment of transactions on applicable foreign trading venues as the CFTC. On the other hand, if the Commission does not grant an exemption to such an SBS transaction, that would mean that the Commission would not have made a finding that granting such an exemption would be in the public interest and consistent with the protection of investors, in light of any information submitted with the application which the Commission may have considered regarding comparable requirements in that foreign jurisdiction. For such SBS transactions, it would be appropriate for the trade execution requirements to apply.

The Commission also disagrees with the characterization of Rule 832 with respect to ANE transactions as bringing "a random selection of additional transactions into scope" and the belief that the location of personnel in the United States should not form the basis for applying the Commission's trade execution requirement.[564] The mere fact that an entity has personnel located in the U.S. does not subject an SBS transaction to the trade execution requirement; rather, it is the role such personnel play in arranging, negotiating, or executing the transaction that brings them within the definition of "covered person" for purposes of Rule 832. ANE

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563 According to one commenter, these issues no longer apply in the SBS markets given that the CFTC resolved it "when it granted equivalency to major foreign trading platforms in Europe and Asia." *See supra* note 526 and accompanying text. The CFTC has granted orders of exemptions to certain markets pursuant to CEA section 5h(g), which authorizes the CFTC to exempt, conditionally or unconditionally, a SEF from registration under CEA section 5h if the CFTC finds that the facility is "subject to comparable, comprehensive supervision and regulation on a consolidated basis by … the appropriate governmental authorities in the home country of the facility." *See* "Exemption of Foreign Swap Trading Facilities from SEF Registration," *available at* https://www.cftc.gov/International/ForeignMarketsandProducts/ExemptSEFs.

564 *See supra* notes 527 and 529 and accompanying text.

transactions would not be a "random selection of additional transactions;"[565] instead, it would be appropriate to apply its carefully considered and tailored guidance given in other Title VII requirements for the phrase "arranged, negotiated, or executed" for the purposes of the application of the trade execution requirement in the cross-border context.

Specifically, the Commission has clarified that Title VII requirements using an "arranged, negotiated, or executed" test are not triggered in certain circumstances where the market-facing activity of U.S. personnel is "so limited that it would not implicate the regulatory interests underlying the relevant Title VII requirements."[566] Such instances arise when U.S. personnel provide "market color" in connection with SBS transactions, where such market color is "limited to background information regarding pricing or market conditions associated with particular instruments or with markets more generally"[567] and when the U.S. personnel have no client responsibility[568] and do not receive any transaction-linked compensation.[569] However, market-facing activity by personnel located in the United States also would not be "market color" (i.e., would be considered to be "arranged, negotiated, or executed") if such activity involves: providing recommendations, such as recommending particular instruments; providing predictions regarding potential merits or risks of, or providing trading ideas or strategies relating to, a proposed security-based swap transaction; structuring a particular SBS transaction; or

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565 *See supra* note 564 and accompanying text.

566 *See* 2019 Cross-Border Adopting Release, *supra* note 218, 85 FR at 6274.

567 *Id.* at 6275–76. Background information includes information regarding (1) current or historic pricing, volatility or market depth, and (2) trends or predictions regarding pricing, volatility, or market depth, as well as information related to risk management. *See id.* at 6275.

568 No client responsibility would mean that the U.S. personnel have not been assigned, and do not otherwise exercise, client responsibility in connection with the transaction. *See id.* at 6275–76.

569 Not receiving any transaction-linked compensation means the U.S. personnel do not receive compensation based on, or otherwise linked to, the completion of individual transactions on which the U.S. personnel provide market color. *See id.*

finalizing or reaching agreement with respect to any pricing or non-pricing element, such as underlier, notional amount or tenor, that must be resolved to complete an SBS transaction.[570]

With this existing guidance that applies to cross-border ANE transactions subject to Rule 832,[571] declining to apply Title VII requirements to SBS transactions of foreign entities that use U.S. personnel to engage in ANE transactions would allow such entities to exit the Title VII regulatory regime without exiting the U.S. market.[572] This is problematic because, as the Commission stated in the Proposing Release, "applying the trade execution requirement to such persons is necessary or appropriate as a prophylactic measure to help prevent the evasion of the provisions of the SEA that were added by the Dodd-Frank Act, and thus help prevent the relevant purposes of the Dodd-Frank Act from being undermined. Without this rule, non-U.S. persons could retain the benefits of operating in the United States while avoiding compliance with the trade execution requirement."[573]

Finally, with respect to the request by one commenter that the Commission revise the "covered person" definition in Rule 832 to make more explicit that it is a transaction-based test,[574] the Commission affirms again that the definition is intended to apply on a transaction-by-

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570 *See id.* at 6275.

571 *See supra* notes 566–570 and accompanying text.

572 *See* Proposing Release, *supra* note 1, 87 FR at 28923 (citing Regulation SBSR—Reporting and Dissemination of Security-Based Swap Information, SEA Release No. 78321 (July 14, 2016), 81 FR 53546, 53591 (Aug. 12, 2016) ("Regulation SBSR Adopting Release II")).

573 Proposing Release, *supra* note 1, 87 FR at 28923 n.230. *See also supra* note 521 and accompanying text (providing an example of swap dealers strategically choosing the location of the desk executing a particular trade in order to avoid trading in a more transparent and competitive setting after no-action relief from the trade execution requirement for ANE transaction).

574 *See supra* note 538 and accompanying text.

transaction basis,[575] and views the language in the rule (e.g., "with respect to a particular security-based swap") as sufficiently clear in this regard.[576]

Accordingly, for the reasons discussed above, the Commission is adopting Rule 832 as proposed, with minor technical modifications.[577]

B. Rule 833—Cross-border Exemptions for Foreign Trading Venues and Relating to the Trade Execution Requirement

As discussed above, Rule 832 specifies when the trade execution requirement applies to an individual cross-border SBS transaction. When covered persons (as defined in Rule 832) are members of a foreign trading venue for SBS (a "foreign SBS trading venue") with respect to SBS transacted on that venue, whether or not such SBS are subject to the trade execution requirement, the foreign SBS trading venue could be required to register with the Commission as a national securities exchange or SBSEF[578] or, because the foreign SBS trading venue would be facilitating the execution of SBS between persons, a broker.[579]

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575 *See* Proposing Release, *supra* note 1, 87 FR at 28922 n.221 ("The proposed term 'covered person' is designed to apply on a transaction-by-transaction basis.").

576 With respect to the commenter that requested additional clarity with respect to Rule 832, *see supra* note 539 and accompanying text, the Commission's discussion of the rule in this section including, for example, the applicability of existing guidance with respect to ANE transactions and the availability of exemptions under Rule 833(b) from the mandatory trade execution requirement as discussed in section VII.B below, should provide market participants with more clarity on when and to whom the rule's requirements would apply.

577 *See supra* notes 32 and 540.

578 *See* 15 U.S.C. 78c-4(a)(1) (stating that no person may operate a facility for the trading or processing of SBS, unless the facility is registered as an SBSEF or national securities exchange).

579 A "broker" is generally defined as a person engaged in the business of effecting transactions in securities for the account of others. *See* Section 3(a)(4) of the SEA, 15 U.S.C. 78c(a)(4). Section 15(a)(1) of the SEA, 15 U.S.C. 78*o*(a)(1), generally provides that it shall be unlawful for any broker to make use of the mails or any means or instrumentality of interstate commerce to effect any transactions in, or to induce or attempt to induce the purchase or sale of, any security unless such broker is registered in accordance with SEA section 15(b). *See also infra* section XI (discussing Rule 15a-12).

To address the situation of a foreign SBS trading venue that wishes to avoid registering with the Commission in one or more of these capacities, the Commission proposed Rule 833(a). Rule 833(a), which would specify that a foreign SBS trading venue can request that the Commission grant it an exemption under section 36(a)(1) of the SEA[580] by submitting, pursuant to SEA Rule 0-12,[581] a complete application for exemptive relief. Rule 833(a) would also provide that such an application under section 36(a)(1) and Rule 0-12, relating to the status of the foreign SBS trading venue under the SEA, may state that the application is also submitted pursuant to Rule 833(a).[582] When such an application is submitted pursuant to Rule 833(a), the Commission would consider the submission as an application to exempt the foreign SBS trading venue, with respect to its providing a market place for SBS, from: the definition of "exchange" in section 3(a)(1) of the SEA[583]; the definition of "security-based swap execution facility" in section 3(a)(77) of the SEA[584]; the definition of "broker" in section 3(a)(4) of the SEA[585]; and section 3D(a)(1) of the SEA.[586] Because a foreign SBS trading venue for which the Commission grants an exemptive order under SEA section 36 and Rule 833(a)[587] would be exempt from these

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580 15 U.S.C. 78mm(a)(1).

581 17 CFR 240.0-12 (setting forth procedures for filing applications for orders for exemptive relief under section 36 of the SEA).

582 An application for an exemption under Rule 833(a) could be submitted by a foreign SBS trading venue itself or by another interested party. For example, a financial regulatory authority in a foreign jurisdiction could submit an application under Rule 833(a) on behalf of one or more SBS trading venues licensed and regulated in that jurisdiction.

583 15 U.S.C. 78c(a)(1).

584 15 U.S.C. 78c(a)(77).

585 15 U.S.C. 78c(a)(4).

586 15 U.S.C. 78c-4(a)(1) (stating that no person may operate a facility for the trading or processing of SBS, unless the facility is registered as an SBSEF or national securities exchange).

587 For the remainder of this discussion, an exemption under SEA section 36 and Rule 833(a) will be referred to simply as a "Rule 833(a) exemption." In addition, the Commission will use the term "trading venue covered by an exemption order under Rule 833" (or a similar formulation) rather than "exempt exchange," "exempt SBSEF" or "exempt broker" because, pursuant to an exemption granted under Rule 833(a), the covered trading venue would no longer be an exchange, SBSEF, or broker (as defined by the SEA).

definitions and from section 3D(a)(1) of the SEA, the foreign SBS trading venue would not be required to register with the Commission as a national securities exchange, SBSEF, or broker, or to comply with other requirements applicable to such entities under the SEA or Commission rules thereunder.[588]

As with other exemptions issued pursuant to section 36, to issue a Rule 833(a) exemption, the Commission would be required to find that the exemption is necessary or appropriate in the public interest, and consistent with the protection of investors.[589] As contemplated in section 36(a)(1), the Commission may issue a Rule 833(a) exemption with conditions.

The Commission also proposed Rule 833(b), which would address requests for exemptive relief relating to the application of the trade execution requirement to transactions executed on a foreign SBS trading venue. Rule 833(b)(2) would provide that, in considering whether to issue a Rule 833(b) exemption, the Commission may consider: (i) the extent to which the SBS traded in the foreign jurisdiction covered by the request are subject to a trade execution requirement comparable to that in section 3C(h) of the SEA and the Commission's rules thereunder; (ii) the extent to which trading venues in the foreign jurisdiction covered by the request are subject to regulation and supervision comparable to that under the SEA, including section 3D of the SEA, and the Commission's rules thereunder; (iii) whether the foreign trading venue or venues where

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588 However, as discussed further below, the Rule 833(a) exemption is designed to address only activities related to providing a market place for SBS. An entity that engages in other SBS-related activity or any activity involving non-SBS securities would, with respect to such other SBS-related activity or any activity involving non-SBS securities, still be subject to any applicable requirements to register with the Commission as a national securities exchange, SBSEF, or broker, or to comply with other requirements applicable to such entities under the SEA or Commission rules thereunder.

589 *See* 15 U.S.C. 78mm(a)(1). Unlike the CFTC, which has exemptive authority under section 5h(g) of the CEA, the Commission would not be required to find that the foreign trading venue is subject to comparable, comprehensive supervision and regulation by a U.S. or foreign regulator.